For BIR Use Only: BCS/ Item:

Republic of the Philippines
Department of Finance
Bureau of Internal Revenue

BIR Form No. **1702Q** January 2018 (ENCS) **Page 1**

# Quarterly Income Tax Return

**For Corporations, Partnerships and Other Non-Individual Taxpayers**

*Enter all required information in CAPITAL LETTERS. Mark applicable boxes with an "X". Two copies MUST be filed with the BIR and one held by the taxpayer.*

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**1** For [X] Calendar [ ] Fiscal
**2** Year Ended *(MM/20YY)* 12 /2026

**3** Quarter [ ] 1st [ ] 2nd [X] 3rd

**4** Amended Return? [ ] Yes [X] No

**5** Alphanumeric Tax Code *(ATC)*: IC 055 Minimum Corporate Income Tax (MCIT) [ ]; IC010 [ ]

## Part I – Background Information

**6** Taxpayer Identification Number *(TIN)*: 123-456-789-00000 **7** RDO Code: 000

**8** Registered Name *(Enter only 1 letter per box using CAPITAL LETTERS)*: TEST TAXPAYER

**9** Registered Address *(Indicate complete address. If the registered address is different from the current address, go to the RDO to update registered address by using BIR Form No. 1905)*: 1 SAMPLE STREET SAMPLE CITY

**9A** ZIP Code: 0000

**10** Contact Number *(Landline/Cellphone No.)*: 00000000

**11** Email Address: test.taxpayer@example.com

**12** Method of Deductions: [X] Itemized Deductions [Section 34 (A-J), NIRC] [ ] Optional Standard Deduction (OSD) – 40% of Gross Income [Section 34(L) NIRC, as amended]

**13** Are you availing of tax relief under Special Law/International Tax Treaty? [ ] Yes [X] No **13A** If yes, specify

## Part II – Total Tax Payable

*(DO NOT enter Centavos; 49 Centavos or Less drop down; 50 or more round up)*

| | |
|---|---|
| **14** Income Tax Due – Regular/Normal Rate *(From Part IV - Schedule 2, Item 13)* | 14,375.00 |
| **15** Less: Unexpired Excess of Prior Year's MCIT over Regular/Normal Income Tax Rate *(deductible only if the quarterly's tax due is the regular/normal rate)* | 50.00 |
| **16** Balance/Income Tax Still Due – Regular/Normal Rate *(Item 14 Less item 15)* | 14,325.00 |
| **17** Add: Income Tax Due – Special Rate *(From Part IV - Schedule 1, Item 13)* | 1,170.00 |
| **18** Aggregate Income Tax Due *(Sum of Items 16 and 17)* | 15,495.00 |
| **19** Less: Total Tax Credits/Payments *(From Part IV - Schedule 4, Item 7)* | 1,710.00 |
| **20 Net Tax Payable / (Overpayment)** *(Item 18 Less Item 19)* | 13,785.00 |
| Add: Penalties **21** Surcharge | 1,000.00 |
| **22** Interest | 500.00 |
| **23** Compromise | 250.00 |
| **24** Total Penalties *(Sum of Items 21 to 23)* | 1,750.00 |
| **25 TOTAL AMOUNT PAYABLE / (Overpayment)** *(Sum of Items 20 and 24)* | 15,960.00 |

*We declare under the penalties of perjury that this return, and all its attachments, have been made in good faith, verified by us, and to the best of our knowledge and belief, are true and correct, pursuant to the provisions of the National Internal Revenue Code, as amended, and the regulations issued under authority thereof. (If signed by an Authorized Representative, indicate TIN and attach authorization letter)*

| Signature over Printed Name of President/Principal Officer/ Authorized Representative | | Signature over Printed Name of Treasurer/ Assistant Treasurer | |
|---|---|---|---|
| Title of Signatory | | Title of Signatory | |
| TIN | | TIN | |

**26** Number of Attachments: 1

## Part III – Details of Payment

| Particulars | Drawee Bank/Agency | Number | Date *(MM/DD/YYYY)* | Amount |
|---|---|---|---|---|
| **27** Cash/Bank Debit Memo | | | | |
| **28** Check | | | | |
| **29** Tax Debit Memo | | | | |
| **30** Others *(specify below)* | | | | |

Machine Validation/Revenue Official Receipt Details [*if not filed with an Authorized Agent Bank (AAB)*]

*Stamp of Receiving Office/AAB and Date of Receipt (RO's Signature/Bank Teller's Initial)*

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# Quarterly Income Tax Return

**For Corporations, Partnerships and Other Non-Individual Taxpayers**

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| Taxpayer Identification Number (TIN) | Registered Name |
|---|---|
| 123456789000000 | TEST TAXPAYER |

## Part IV – Schedules

*(DO NOT enter Centavos; 49 Centavos or Less drop down; 50 or more round up)*

| **Schedule 1 –** Declaration this Quarter | A. EXEMPT | B. SPECIAL |
|---|---|---|
| **1** Sales/Receipts/Revenues/Fees | 100000 | 200000 |
| **2** Less: Cost of Sales/Services | 40000 | 80000 |
| **3** Gross Income from Operation *(Item 1 Less Item 2)* | 60000 | 120000 |
| **4** Add: Non-Operating and Other Taxable Income | 5000 | 3000 |
| **5** Total Gross Income *(Sum of Items 3 and 4)* | 65000 | 123000 |
| **6** Less: Deductions | 10000 | 20000 |
| **7** Taxable Income this Quarter *(Item 5 less Item 6)* | 55000 | 103000 |
| **8** Add: Taxable Income Previous Quarter/s | | |
| **9** Total Taxable Income to Date *(Sum of Items 7 & 8)* | 75000 | 118000 |
| **10** Applicable Income Tax Rate *[except minimum corporate income tax (MCIT) rate]* | 0 % | 10.0 % |
| **11** Income Tax Due Other than MCIT *(Item 9 x Item 10)* | 000 | |
| **12** Less: Share of Other Agencies, if remitted directly | | |
| **13** Net Income Tax Due to National Government *(Item 11 Less Item 12) (To Part II Item 17)* | | 11700 |

| **Schedule 2 –** Declaration this Quarter **– REGULAR/NORMAL RATE** | |
|---|---|
| **1** Sales/Receipts/Revenues/Fees | |
| **2** Less: Cost of Sales/Services | |
| **3** Gross Income from Operation *(Item 1 Less Item 2)* | |
| **4** Add: Non-Operating and Other Taxable Income | |
| **5** Total Gross Income *(Sum of Items 3 and 4)* | |
| **6** Less: Deductions | |
| **7** Taxable Income this Quarter *(Item 5 less Item 6)* | |
| **8** Add: Taxable Income Previous Quarter/s | |
| **9** Total Taxable Income to Date *(Sum of Items 7 and 8)* | |
| **10** Applicable Income Tax Rate *(except MCIT rate)* | 25 % |
| **11** Income Tax Due Other than MCIT *(Item 9 multiply by Item 10)* | |
| **12** Minimum Corporate Income Tax (MCIT) *(From Schedule 3 Item 6)* | 3450 |
| **13** Income Tax Due *(Normal Income Tax in Item 11 or MCIT in Item 12 whichever is higher) (To Part II Item 14)* | 14375 |

| **Schedule 3 – Computation of Minimum Corporate Income (MCIT) Tax for the Quarter/s** | |
|---|---|
| **1** Gross Income Regular/Normal Rate - 1st Quarter | 400000 |
| **2** Gross Income Regular/Normal Rate - 2nd Quarter | 500000 |
| **3** Gross Income Regular/Normal Rate - 3rd Quarter | 825000 |
| **4** Total Gross Income *(Sum of Items 1 to 3)* | 1725000 |
| **5** MCIT Rate | 2 % |
| **6** Minimum Corporate Income Tax *(To Schedule 2 Item 12)* | 3450 |

| **Schedule 4 – Tax Credits/Payments** *(attach additional sheet/s, if necessary)* | |
|---|---|
| **1** Prior Year's Excess Credits | 1000 |
| **2** Tax payment/s for the previous quarter/s of the same taxable year other than MCIT | 2000 |
| **3** MCIT payment/s for the previous quarter/s of the same taxable year | 3000 |
| **4** Creditable Tax Withheld for the previous quarter/s | 4000 |
| **5** Creditable Tax Withheld per BIR Form No. 2307 for this quarter | 5000 |
| **6** Tax paid in return previously filed if this is an amended return | 600 |
| Other Tax Credits/Payments *(specify below)* | |
| a | 700 |
| b | 800 |
| **7** Total Tax Credits/Payments *(Sum of Items 1 to 6b) (To Part II Item 19)* | 17100 |

# Quarterly Income Tax Return

**For Corporations, Partnerships and Other Non-Individual Taxpayers**



| ATC | Description | Tax Rate | Tax Base |
|---|---|---|---|
| | **DOMESTIC CORPORATION** | | |
| IC 010 | 1. a. In General | 30% | Taxable Income from All Sources |
| IC 055 | b. Minimum Corporate Income Tax | 2% | Gross Income |
| IC 030 | 2. Proprietary Educational Institutions | 10% | Taxable Income from All Sources |
| | a. Proprietary Educational Institutions whose gross income from unrelated trade, business or other activity exceeds fifty percent (50%) of the total gross income from all sources. | 30% | Taxable Income from All Sources |
| IC 055 | b. Minimum Corporate Income Tax | 2% | Gross Income |
| IC 031 | 3. Non-Stock, Non-Profit Hospitals | 10% | Taxable Income from All Sources |
| | a. Non-Stock, Non-Profit Hospitals whose gross income from unrelated trade, business or other activity exceeds fifty percent (50%) of the total gross income from all sources. | 30% | Taxable Income from All Sources |
| IC 055 | b. Minimum Corporate Income Tax | 2% | Gross Income |
| IC 040 | 4. a. GOCC, Agencies & Instrumentalities | 30% | Taxable Income from All Sources |
| IC 055 | b. Minimum Corporate Income Tax | 2% | Gross Income |
| IC 041 | 5. a. National Gov't & LGU's | 30% | Taxable Income from Proprietary Activities |
| IC 055 | b. Minimum Corporate Income Tax | 2% | Gross Income |
| IC 020 | 6. a. Taxable Partnership | 30% | Taxable Income from All Sources |
| IC 055 | b. Minimum Corporate Income Tax | 2% | Gross Income |
| IC 011 | 7. Exempt Corporation<br>a. On Exempt Activities | 0% | |
| IC 010 | b. On Taxable Activities | *same rate as in 1a | Taxable Income from All Sources |
| IC 021 | 8. General Professional Partnership | exempt | |
| IC 200 | 9. Corporation covered by Special Law*<br>a. PEZA Free Port Zones | 0% / 5% | Gross Income |
| IC 210 | b. Microfinance Non-government Organizations (NGOs) | 2% | Gross Receipts |
| | **RESIDENT FOREIGN CORPORATION** | | |
| IC 070 | 1. a. In General | 30% | Taxable Income from within the Philippines |
| IC 055 | b. Minimum Corporate Income Tax | 2% | Gross Income |
| IC 080 | 2. International Carriers | 2.5% | Gross Philippine Billing |
| IC 101 | 3. Regional Operating Headquarters* | 10% | Taxable Income |
| | 4. Corporation Covered by Special Law* | | |
| IC 190 | 5. Offshore Banking Units (OBU's)<br>a. Foreign Currency Transaction not subjected to Final Tax | 10% | Gross Taxable Income on Foreign Currency Transaction not subjected to Final Tax |
| | b. Other Than Foreign Currency Transaction | 30% | Taxable Income Other Than Foreign Currency Transaction |
| IC 191 | 6. Foreign Currency Deposit Units (FCDU's)<br>a. Foreign Currency Transaction not subjected to Final Tax | 10% | Gross Taxable Income on Foreign Currency Transaction not subjected to Final Tax |
| | b. Other Than Foreign Currency Transaction | 30% | Taxable Income Other Than Foreign Currency Transaction |

*PLEASE REFER TO REVENUE DISTRICT OFFICES

## Guidelines and Instructions for BIR Form No. 1702Q (January 2018 ENCS)
## Quarterly Income Tax Return
## For Corporations, Partnerships and Other Non-Individual Taxpayers

**Who Shall File**

Every corporation, partnership no matter how created or organized, joint stock companies, joint accounts, associations (except foreign corporation not engaged in trade or business in the Philippines and joint venture or consortium formed for the purpose of undertaking construction projects or engaging in petroleum, coal, geothermal and other energy operations), government-owned or controlled corporations, agencies and instrumentalities shall render a true and accurate income tax return in accordance with the provisions of the Tax Code. The return shall be filed in triplicate copies by the president, vice-president or other principal officer and shall be sworn to by such officer and by the Treasurer or Assistant Treasurer.

Every general professional partnership shall file a return of its income setting forth the items of gross income and of deductions and the names, TINs, addresses and shares of each of the partners.

**When and Where to File**

The corporate quarterly income tax return shall be filed with or without payment within sixty (60) days following the close of each of the first three (3) quarters of the taxable year whether calendar or fiscal year.

The return shall be filed with any Authorized Agent Bank (AAB) located within the territorial jurisdiction of the Revenue District Office where the taxpayer is required to register/which has jurisdiction over the location of the principal office of the "CORPORATION" filing the return.

In places where there are no AABs, the return shall be filed directly with the Revenue Collection Officer or duly Authorized City or Municipal Treasurer within the Revenue District Office where the taxpayer is required to register/which has jurisdiction over the location of the principal office of the "CORPORATION" filing the return.

**When and Where to Pay**

Upon filing of this return, the total amount payable shall be paid to the Authorized Agent Bank (AAB) where the return is filed. In places where there are no AABs, payments shall be made directly to the Revenue Collection Officer (RCO) of the RDO having jurisdiction over the location of the principal office of the "CORPORATION", who shall issue an Electronic Revenue Official Receipt (eROR) therefor.

Where the return is filed with an AAB, taxpayer must accomplish and submit BIR-prescribed deposit slip, which the bank teller shall machine validate as evidence that payment was received by the AAB. The AAB receiving the tax return shall stamp mark the word "Received" on the return and also machine validate the return as proof of filing the return and payment of the tax by the taxpayer, respectively. The machine validation shall reflect the date of payment, amount paid and transactions code, the name of the bank, branch code, teller's code and teller's initial. Bank debit memo number and date should be indicated in the return for taxpayers paying under the bank debit system.

Payment may also be made thru the epayment channels of AABs thru either their online facility, credit/debit/prepaid cards, and mobile payments.

**For EFPS Taxpayer**

The deadline for electronically filing and paying the taxes due thereon shall be in accordance with the provisions of existing applicable revenue issuances.

**Normal Rate of Income Tax ---------- 30%**

**Deductions**

A corporation shall choose either the itemized or optional standard (described below) deduction. It shall indicate the choice by marking with "X" the appropriate box, otherwise, the corporation shall be considered as having availed of the itemized deduction. The choice made in the return is irrevocable for the taxable year for which the return is made.

*Optional Standard Deduction (OSD)* – A maximum of 40% of the gross income shall be allowed as deduction in lieu of the itemized deduction. However, a corporation who availed and claimed this deduction is still required to submit its financial statements when it files its annual tax return and to keep such records pertaining to its gross income.

*Itemized Deduction* – There shall be allowed as deduction from gross income all the ordinary and necessary trade and business expenses paid or incurred during the taxable year in carrying on or which are directly attributable to the development, management, operation and/or conduct of the trade and business. Itemized deduction includes also interest, taxes, losses, bad debts, depreciation, depletion, charitable and other contributions, research and development and pension trust.

**Minimum Corporate Income Tax (MCIT)**

A minimum corporate income tax (MCIT) of two percent (2%) of the gross income is imposed upon any domestic corporation and resident foreign corporation beginning the fourth (4th) taxable year (whether calendar or fiscal year, depending on the accounting period employed) immediately following the taxable year in which such corporation commenced its business operation. The MCIT shall be imposed whenever the corporation has zero or negative taxable income or whenever the amount of minimum corporate income tax is greater than the normal income tax due from such corporation. Any excess of the MCIT over the normal income tax shall be carried forward and credited against the normal income tax for the three (3) immediate succeeding taxable years.

The computation and the payment of MCIT shall apply each time a corporate income tax return is filed, whether quarterly or annual basis.

**Penalties**

There shall be imposed and collected as part of the tax:

1. A surcharge of twenty-five percent (25%) for the following violations:
   a. Failure to file any return and pay the amount of tax or installment due on or before the due date; or
   b. Filing a return with a person or office other than those with whom it is required to be filed, unless otherwise authorized by the Commissioner; or
   c. Failure to pay the full or part of the amount of tax shown on the return, or the full amount of tax due for which no return is required to be filed on or before the due date; or
   d. Failure to pay the deficiency tax within the time prescribed for its payment in the notice of assessment.
2. A surcharge of fifty percent (50%) of the tax or of the deficiency tax, in case any payment has been made before the discovery of the falsity or fraud, for each of the following violations:
   a. Willful neglect to file the return within the period prescribed by the Code or by rules and regulations; or
   b. A false or fraudulent return is willfully made.
3. Interest at the rate of double the legal interest rate for loans or forbearance of any money in the absence of an express stipulation as set by the Bangko Sentral ng Pilipinas from the date prescribed for payment until the amount is fully paid: Provided, That, in no case shall the deficiency and the delinquency interest prescribed under Section 249 Subsections (B) and (C) of the National Internal Revenue Code, as amended, be imposed simultaneously.
4. Compromise penalty as provided under applicable rules and regulations.

**Attachments Required**

1. Certificate of Income Payments not Subject to Withholding Tax (BIR Form No. 2304), if applicable;
2. Certificate of Creditable Tax Withheld at Source (BIR Form No. 2307), if applicable;
3. Duly approved Tax Debit Memo, if applicable;
4. Certificate of Tax Treaty relief, if any;
5. Summary Alphalist of Withholding Agents of Income Payments Subjected to Withholding Tax at Source (SAWT), if applicable; and
6. Proof of other payment/s, if applicable.

The quarterly income tax return does not have to be accompanied with Account Information Form and/or Financial Statements.

**Note: All background information must be properly filled out.**

- The last 5 digits of the 14-digit TIN refers to the branch code
- All returns filed by an Accredited Tax Agent on behalf of a taxpayer shall bear the following information:
  A. For Individual (CPAs, members of GPPs, and others)
     a.1 Taxpayer Identification Number (TIN); and
     a.2 BIR Accreditation Number, Date of Issue, and Date of Expiry.
  B. For members of the Philippine Bar (Lawyers)
     b.1 Taxpayer Identification Number (TIN);
     b.2 Attorney's Roll Number;
     b.3 Mandatory Continuing Legal Education (MCLE) Compliance Number; and
     b.4 BIR Accreditation Number, Date of Issue, and Date of Expiry